

activity. So has the transportation field. Shipping costs have risen more than most expenses because of the larger percentage of labor costs in most forms of transportation as compared to most types of manufacturing. Using new types of containers, heretofore unused methods of transportation, or even putting in branch plants to avoid cross-hauling have all cut costs for alert companies.

None of these things can be brought about in a day. They all require close study and considerable planning ahead. The prospective investor should give attention to the amount of ingenuity of the work being done on new ideas for cutting costs and improving profit margins. Here the "scuttlebutt" method may prove of some value, but much less so than direct inquiry from company personnel. Fortunately, this is a field about which most top executives will talk in some detail. The companies which are doing the most successful work along this line are very likely to be the ones which have built up the organization with the know-how to continue to do constructive things in the future. They are extremely likely to be in the group offering the greatest long-range rewards to their shareholders.

POINT 7. Does the company have outstanding labor and personnel relations?

Most investors may not fully appreciate the profits from good labor relations. Few of them fail to recognize the impact of bad labor relations. The effect on production of frequent and prolonged strikes is obvious to anyone making even the most cursory review of corporate financial statements.

However, the difference in the degree of profitability between a company with good personnel relations and one with mediocre personnel relations is far greater than the direct cost of strikes. If workers feel that they are fairly treated by their employer, a background has been laid wherein efficient leadership can accomplish much in increasing productivity per worker. Furthermore, there is always considerable cost in training each new worker. Those companies with an abnormal labor turnover have therefore an element of unnecessary expense avoided by better-managed enterprises.

But how does the investor properly judge the quality of a company's labor and personnel relations? There is no simple answer. There is no set yardstick that will apply in all cases. About the best that can be done is to look at a number of factors and then judge from the composite picture.